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General Comment

See attached file(s)

Attachments

Final_IW Response to NSF Request for Information regarding AI Action Plan



March 15, 2025

Networking and Information Technology Research and Development (NITRD)
National Coordination Office (NCO)
National Science Foundation

Re: Response to the National Science's Foundation Request for Information

Respondent: [Internet Works](#)

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Internet Works appreciates the opportunity to provide input on the National Science Foundation's Request for Information on the Development of an Artificial Intelligence (AI) Action Plan.

Internet Works is a trade association of broad member companies working together to right-size technology policy, particularly for midcap and other technology companies who fall outside of "Big Tech," and can more appropriately be referred to as "Middle Tech." We are committed to promoting innovation, protecting freedom of expression, and preserving consumer choice. Our work centers on two key objectives: first, advocating for policies that foster innovation, providing essential value to our users, competition, and fairness while preventing harmful regulations that create unnecessary barriers for emerging and diverse technology companies; and second, ensuring policymakers recognize the unique challenges and disproportionate impacts regulatory proposals can have on diverse business models and the communities they serve.

AI is reshaping the digital economy, and its continued growth depends on balanced policies that foster both cutting-edge research and widespread industry and consumer adoption. Internet Works member companies play a critical role in this transformation, leveraging AI to enhance products and services, improve user experiences, and strengthen safety and security.

Internet Works member companies are using AI to expand consumer choice by streamlining operations, reducing costs, and making innovative solutions more accessible. The integration of AI into our products also provides actionable insights and recommendations, automates customer support, and enhances digital interactions, allowing consumers to engage with services on their own terms. AI-powered tools such as chatbots, virtual assistants, and real-time translation further



improve accessibility, making digital services more inclusive and responsive to diverse needs.

Moreover, AI plays a crucial role in safeguarding consumer data and transactions. By helping to support compliance with safety regulations, identifying threats in real time, and ensuring secure, seamless experiences, AI enhances digital trust. AI-driven monitoring systems detect anomalies, prevent cyberattacks, and reduce human error, making online services more reliable.

In the following pages, Internet Works outlines key recommendations to ensure the AI Action Plan sustains U.S. leadership in AI, promotes fair competition, and fosters sustainable and responsible AI development.

MIDDLE TECH AI PRINCIPLES

An AI legal framework built on the below principles can drive innovative and impactful U.S. leadership in AI, and ensure that companies of all sizes have the opportunity to continue to best serve their users – consumers and businesses.

Risk-Based Regulation and Balanced Enforcement – Smaller enterprises and Middle Tech companies often face disproportionate regulatory burdens that can stifle innovation and limit their ability to compete in the tech ecosystem. AI policymakers should adopt a risk-based approach to regulation focusing on whether the end use is likely to have a legal or similarly significant impact on consumers. A graduated approach to enforcement should adapt to varying levels of risk ensuring stricter oversight where there's a higher risk of harm while avoiding excessive compliance requirements for low-risk applications. This approach ensures that compliance obligations remain proportionate, practical, and innovation-friendly, allowing smaller enterprises and Middle Tech companies to thrive while also encouraging broader adoption of AI and stimulating economic growth and U.S. productivity.

Regulatory Flexibility & Proportional Standards – Ensure regulatory frameworks can be scaled to the size and operational capacity of all participants to prevent smaller enterprises and Middle Tech companies from being disproportionately impacted by regulations designed for the largest ones. The goal of any flexible regulatory approach should be to preserve a competitive marketplace where smaller enterprises and Middle Tech companies can innovate and grow while still meeting essential safety standards and responsibilities, by avoiding a one-size-fits-all approach that would hinder their development.

Clear & Tailored Compliance Obligations – AI regulatory frameworks should reflect the diverse capabilities and roles of entities across the AI ecosystem. Effective compliance depends on clear, well-defined default obligations across the AI supply chain. Developers, service providers, and other upstream actors play a

critical role in AI system integrity and should contribute meaningfully by offering transparency, documentation, and support to facilitate compliance. A balanced regulatory approach — where obligations are proportionate to an entity’s influence and role in AI development and deployment — would enhance accountability and minimize the risk of costly litigation that would stifle innovation while protecting both business sustainability and the integrity of the consumer experience.

POLICY ACTIONS

This document outlines key policy recommendations for establishing a preemptive federal framework on AI that builds on existing laws, preventing a fragmented patchwork of state regulations and providing legal certainty. Such a framework should promote a flexible, risk-based structure that adapts to evolving AI technologies and business models, promoting innovation, removing unnecessary barriers, and strengthening AI innovation and U.S. leadership.

A National AI Framework: Clarity, Accountability, And Innovation

A preemptive, federal AI framework should prioritize accountability, transparency, and risk management. It should provide clear guidelines for the responsible development, integration, and use of AI systems, ensuring that obligations are proportionate to an entity’s role and level of influence over an AI system.

Recommendations:

1. Adopt a Tiered, Risk-Based Approach

A tiered, risk-based AI framework should align obligations with each entity’s role in the AI supply chain, depending on their level of control over and access to the components of an AI system and the risks associated with its use.

- **AI Developers**
 - Promote high-quality, lawfully obtained, and appropriately representative training data to enhance model accuracy and minimize bias and unintended consequences.
 - Conduct and document risk assessments on model capabilities, limitations, and potential downstream impacts across different use cases.
 - Implement security protections to prevent model poisoning, adversarial attacks, and unauthorized modifications, ensuring model integrity.
 - Provide clear documentation on key model characteristics, including training data sources and known limitations to inform downstream users and sectoral regulators (more on this in ***Facilitate AI Supply Chain Transparency*** below).

- Conduct ongoing testing and maintenance post-deployment to detect and mitigate temporal bias, model drift, and overfitting in real-world conditions.
- AI Deployers/Downstream Deployers (Entities Implementing AI for Real-World Use)
 - Assess AI model risks in their specific deployment context, including sector-specific regulatory risks.
 - Ensure AI system governance and compliance with applicable laws, including data privacy, transparency, fairness, and accountability requirements.
 - Implement safeguards and user protections, such as transparency, human oversight mechanisms, and automated decision safeguards (as applicable).
 - Establish security measures to ensure AI systems and outputs are not misused, manipulated, or accessed by unauthorized parties.
 - Monitor AI performance post-deployment, addressing unintended consequences and model drift over time.

2. Facilitate AI Supply Chain Transparency

An effective tiered AI federal framework would allocate accountability fairly between developers and deployers based on who controls what elements in the AI supply chain. Initial developers should provide downstream integrators and deployers with relevant risk-related information in a structured and accessible manner, leveraging existing best practices (e.g., model cards) while allowing flexibility for emerging standards.¹ Documentation should focus on:

- Model training data sources (e.g., general categories, but not proprietary datasets).
- Known and foreseeable risks and limitations (e.g., bias, potential misuse scenarios).
- Model behavior in safety tests (e.g., adversarial robustness, accuracy benchmarks).
- Guidelines for intended uses of the AI model or overall AI system.

Downstream AI users should not be held accountable for outcomes outside of their direct control. Liability limitations should apply for development undertaken by AI developers, particularly in cases where developers fail to disclose known, preventable risks to deployers/downstream deployers. Likewise, the mere provision of a tool by a service does not inherently confer responsibility for how users choose to utilize it.

¹ In practice, this documentation should take the form of structured risk reports (similar to software vulnerability disclosures) that help standardize AI transparency, such as the AI Model Cards framework (used by Google and OpenAI).

3. Adopt a Risk-Based Balanced Approach to Enforcement

A tiered AI federal framework should adopt a risk-based, proportionate approach to enforcement, considering an entity's level of control and risk exposure within the AI supply chain. This requires a flexible, market-driven AI risk framework with the following key elements:

- Industry-Led AI Risk Standards
 - Encourage industry-driven AI risk management frameworks, leveraging standards from organizations like the National Institute for Standards and Technology (NIST), the International Organization for Standardization (ISO), and the Institute of Electrical and Electronics Engineers (IEEE).
 - Establish sector-specific AI risk guidelines through agencies such as NIST, the FDA, and the FTC to ensure regulations align with industry needs rather than imposing rigid, one-size-fits-all mandates.
 - Provide incentives (e.g., safe harbors, opportunity funding) for companies — particularly startups and small businesses — that implement leading AI risk management frameworks.
 - Foster public-private collaboration to define AI risk tiers while avoiding excessive regulatory burdens.
- Proportionate & Targeted Enforcement

AI regulation should focus on identifiable harms and concrete risks, ensuring enforcement measures are reasonable, proportionate and aligned with actual impacts.

 - Risk-based oversight – Enforcement bodies should establish clear criteria to define high-risk applications, prioritizing actual harm prevention over theoretical concerns.
 - Accountability aligned with the AI supply chain – Enforcement efforts should ensure that compliance obligations fall on the appropriate actor within the AI ecosystem (see ***Adopt a Tiered, Risk-Based Approach***).
 - Balanced Enforcement Approaches – Enforcement should balance oversight and innovation. It should prioritize risk-proportionate mechanisms, and where possible rely on self-assessments, voluntary best practices, and industry standards to ensure compliance remains practical, adaptable, and conducive to innovation.

AI And Content Moderation

Internet Works recognizes the transformative potential of AI in content moderation, recommendation systems, and platform governance. We also emphasize the need for a risk-based, balanced regulatory approach that preserves innovation, ensures effective content moderation, and upholds the foundational protections of Section

230 of the *Communications Decency Act*, which has long supported free expression and entrepreneurial growth in the digital economy.

AI will increasingly become a critical tool for platforms in mitigating harmful content, improving user experiences, and maintaining compliance with existing legal and regulatory frameworks. As NSF considers its AI governance strategy, we urge a policy approach that supports innovation in AI-driven moderation while ensuring transparency and accountability without unintended regulatory burdens that could limit free expression or create new liabilities for American businesses. To ensure that AI governance frameworks, particularly as they apply to content moderation issues, align with platform needs while safeguarding a robust online discourse.

Recommendations:

1. Ensuring AI Governance Respects Free Expression and Platform Accountability

Platforms rely on AI to enforce community guidelines, protect users, and combat unlawful content. AI governance should not introduce rules that limit platforms' ability to moderate content effectively or incentivize over-removal of lawful speech out of liability concerns.

2. Avoiding One-Size-Fits-All Mandates

As discussed before in ***Adopt a Risk-Based Balanced Approach to Enforcement***, a risk-based AI governance framework should distinguish between high-risk AI applications and AI tools that assist in product functionality and moderation. Regulations that apply overly broad compliance obligations to AI-driven moderation systems could discourage platforms from investing in better tools to protect users and ensure an open, dynamic online space.

3. Aligning AI Rules with Section 230 Protections

AI governance policies must not weaken the core principles of Section 230, which has enabled platforms to moderate content while protecting free expression. At the same time, we recognize the need for increased transparency and accountability in AI decision-making. A balanced approach should allow platforms to retain discretion over moderation policies while ensuring users understand how AI is applied.

Foster Competition and Collaboration

To ensure U.S. leadership in AI, policymakers should focus on enforcing competition laws in AI markets, promoting open AI ecosystems, and fostering structured collaboration between government, industry, and academia.

Recommendations:

1. Ensure a Level Playing Field for all American Companies

As explained above (see ***A National AI Framework: Clarity, Accountability, and Innovation***), a tiered AI federal framework developed under the AI Action Plan would prevent excessive regulatory compliance costs from disproportionately impacting startups, smaller businesses and Middle Tech companies, which would affect their ability to compete. In addition to this, the AI Action Plan should empower authorities to enforce existing competition laws in the AI space to prevent companies with market power from stifling innovation. For example, authorities should actively monitor market developments and intervene to prevent such firms from restricting smaller businesses and Middle Tech companies' access to essential AI resources (i.e., compute resources, training data, cloud services) and risk-related information, which are critical for smaller companies to enter the market, as well as to develop and deploy AI solutions competitively.

Furthermore, access to open source AI models, open weights AI models, and other AI components, which enables businesses to develop, adapt and apply AI in ways that best fit their needs and those of their users, offers significant opportunities in fostering a level playing field, thereby enhancing competition and innovation in AI. Policymakers should explore policies that promote a strong and secure open ecosystem for AI.

2. Foster Public-Private Partnerships

As AI continues to shape industries and economies, public-private collaboration will be essential in advancing research, setting best practices, and fostering innovation, as well as addressing economic, national security and consumer protection priorities.

To navigate AI's evolving challenges, ongoing engagement between government, industry, academia, and civil society should facilitate practical, risk-based approaches that support AI safety, transparency and global competitiveness. Bringing together these stakeholders will allow for the development of a science-backed, risk-based AI framework that will ensure AI's responsible development, deployment, and long-term impact and foster economic growth and public trust.

Avoid Overregulation, Future-Proof Regulations, and Ensure Alignment

The AI Action Plan should encourage the development of a principles-based, forward-looking framework that focuses on harmonization, ongoing market assessment, and global cooperation to maintain U.S. AI leadership. Where needed, policymakers should prioritize the development of technology-neutral regulation that is adaptive, targeted, and proportionate to support innovation.

Recommendations:

1. Review and Harmonize

Before introducing new AI regulations, policymakers should conduct a comprehensive gap analysis to prevent overlapping or conflicting rules. Rather than creating entirely new regulatory structures, regulators should be invited to develop strategies on how they will apply existing sectoral laws — such as privacy, consumer protection, and cybersecurity — to AI use cases and ensure a cohesive, streamlined approach that reduces regulatory complexity while maintaining business continuity and effective oversight.

We believe policymakers are presented with a unique opportunity at this stage to introduce a federal preemptive privacy law. The current patchwork of state privacy laws creates regulatory fragmentation, increasing costs and uncertainty for businesses while limiting the scalability of AI-driven solutions. A uniform federal framework would provide clear, consistent rules that protect consumer privacy without stifling technological progress. By ensuring strong, but flexible protections, aligned with global standards, the U.S. can promote responsible AI development, enhance economic competitiveness, and safeguard national security interests -all while reinforcing American values of innovation, individual rights, and market-driven growth.

2. Prevent Regulatory Fragmentation

Policymakers should adopt a unified federal approach to AI governance to avoid regulatory fragmentation. The patchwork of conflicting state-level regulations that have been enacted and will soon be in effect will create unnecessary complexity, making compliance particularly challenging for businesses — especially startups, smaller enterprises and Middle Tech companies. Ensuring federal-level harmonization would provide businesses with greater legal certainty while fostering a consistent AI governance framework.

Regulators should also be tasked with conducting ongoing AI market assessments to identify emerging risks and opportunities. Regulatory bodies and courts must continuously interpret and update AI regulations, issuing guidelines and clarifications as new challenges arise. This approach ensures legal certainty while preventing outdated or excessively rigid compliance mandates that could hinder AI-driven growth.

3. Position the U.S. as a Global AI Leader

U.S. AI regulations should serve as a baseline for global governance, aligning international standards, and reducing compliance burdens for multinational companies. By leading international AI cooperation, the U.S. can shape globally recognized policies that foster innovation, competitiveness, and market expansion while preventing regulatory fragmentation.

The AI Action Plan should include provisions that would enable the U.S. to enter into strategic partnerships with key allies to establish common AI standards. It could also propose the creation of a U.S.-led AI Competitiveness Council, housed within the Department of Commerce, to collaborate with industry leaders and ensure that domestic AI regulations remain globally competitive. This council would play a critical role in:

- Promoting the U.S. as the leading architect of global AI rules that promote an open and competitive global market for AI.
- Ensuring American businesses remain at the forefront of AI innovation and leadership.

The *EU AI Act*, in turn, represents an important effort to establish baseline obligations for AI systems and general-purpose AI models. These obligations aim to promote transparency to downstream providers and users, accountability, and risk-based governance. Internet Works recognizes the value of these foundational requirements, particularly in ensuring trust in AI systems and regulatory clarity across markets. A structured approach to AI safety, documentation, and human oversight can help align global standards and foster responsible innovation. However, the *EU AI Act* also presents challenges the U.S. should carefully consider. The implementation and oversight of its broad and complex compliance framework — combined with its extraterritorial reach — could disproportionately impact smaller AI developers and create unnecessary regulatory burdens for U.S. businesses operating in Europe. As established in this document, Internet Works companies urge the U.S. to aim to strike a balance — embracing principles that enhance AI safety and public trust while ensuring that regulation does not undermine competition, scalability, or technological leadership.

4. Favor Adaptable, Principles-based Regulation

AI-specific regulations should be technology-neutral and adaptable, ensuring they remain relevant as technology evolves. They should focus on broad principles applicable across different AI applications, avoiding rigid classifications that may quickly become outdated. Overly prescriptive rules risk stifling innovation and imposing unnecessary burdens on businesses.

Additionally, as mentioned above (see ***A National Framework: Clarity, Accountability and Innovation***), compliance requirements should be risk-based, offering flexible options that vary depending on the use case and potential risks of each AI system. A one-size-fits-all approach could lead to unnecessary regulatory burdens while failing to more effectively address high-risk AI applications.

By implementing pro-innovation, risk-based policies, the U.S. can solidify its AI leadership, foster a diverse and competitive AI ecosystem, and promote responsible AI development.

CONCLUSION

Internet Works appreciates the NSF's leadership in developing an AI Action Plan that strengthens U.S. competitiveness, fosters innovation, and supports responsible development. As AI continues to evolve globally, ensuring that American businesses — particularly smaller enterprises and Middle Tech companies — can compete and scale is critical to maintaining U.S. leadership.

A risk-based, proportionate approach to AI governance will be essential. As explained above, overly rigid regulations could hinder innovation, particularly for startups and small businesses that lack the capacity and means of larger firms. To keep the U.S. at the forefront of AI development, the NSF should prioritize policies that:

- Enable a dynamic, open, and competitive AI ecosystem where startups, small businesses, and Middle Tech companies can develop, deploy, and utilize AI without undue regulatory burdens.
- Encourage investment in AI research and public-private partnerships to unleash the benefits of AI and strengthen U.S. competitiveness.
- Adopt flexible, risk-based governance frameworks that support responsible AI innovation while keeping compliance scalable.

Internet Works remains committed to advancing policies that drive AI innovation, empower smaller enterprises and Middle Tech companies, and ensure U.S. leadership in the global AI economy. We appreciate the opportunity to contribute to this discussion and look forward to continued collaboration in shaping a future-ready AI ecosystem.

Respectfully submitted,

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